



BEFORE SIPs, BEFORE APPS, BEFORE EVERYTHING

A personal account of when mutual fund investing in India was being invented

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THIRTY-TWO YEARS ago, in the pages of this magazine, an article began with these words: "THE mutual fund mania is about to begin. With more than 89 schemes already operating in the country—and the first private sector mutual funds ready to be launched—just how do you decide which is the smartest fund to invest in?"

That was the beginning. The first Indian rating and review of mutual funds, in 1993, was done by Value Research in partnership with *Business Today*. Both organisations were relatively young at the time, as was India's modern mutual fund industry, as well as the new, liberalised Indian economy.

In a few intense weeks, *Business Today*'s leadership and I invented a whole new way for Indian investors to evaluate mutual funds. We had no template to follow. We were making it up as we went along, driven by the simple conviction that Indian investors deserved a systematic way to understand what they were buying.

The rating system we created has stood the test of time. Decades later, with adjustments and refinements, it remains conceptually identical to Value Research's current rating system. With thousands of funds today, it stands on the shoulders of what we built back then. The data constraints we faced at that time seem comical now. Even basic information like NAV was hard to obtain. They were calculated on a weekly or monthly basis. Fund houses would mail us physical reports.

We'd manually enter numbers into spreadsheets. The idea of checking your portfolio on your phone was once the stuff of science fiction.

My young colleague Suman Horo did the core work of building a structured dataset using Excel. He is sadly no longer with us, but his contribution to Indian mutual fund investing lives on. Later, we discovered Excel macros, marking the beginning of our automation journey, a journey that ultimately led to the sophisticated systems that power our mutual fund analysis today.

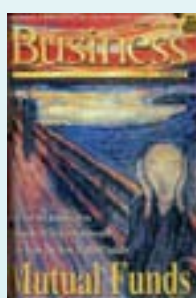
What strikes me most is how much has changed and how much remains the same. The technology is unrecognisable. The scale is incomprehensible. Ranging from 89 schemes to thousands, from a handful of investors to crores. Yet the fundamental questions remain unchanged. How do you evaluate a fund? How do you know if it's right for you?

The answers we developed in those early years, to focus on consistency, risk-adjusted returns, and the quality of the investment process, remain as relevant today as they were when we first typed them into our computers.

Three decades is a long time in any industry. But the real measure of success isn't in the numbers. We didn't know we were helping to start that when we published those first ratings in 1993. Thirty-two years later, we're still trying to answer the same question: which funds are worth investing in? But now, at least, we know why it matters.



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